Topics in sovereign debt (intro and history)

Simon Hinrichsen

University of Copenhagen

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Some practical stuff

- Me
- Contents of this seminar
- Deadlines and schedule (project des: March 1; exam hand in: June 3 (check yourself!)
- Requirements
- Presentations (???) - must be between May 1-23
- Exam / paper

What is sovereign debt

- A liability of the government, essentially a promise.
- Can be used for good things (investments, tax smoothing, Keynesian stabilization, provide safe store of value)
- Or bad things (for war, stolen, for personal or political gain, strategic manipulation, corruption, over-borrowing and hoarding if not enough productive investments)

What is sovereign debt

- Governments are NOT like households.
- In the old days, debt was enforced by gunboats (Mitchener and Weidenmier 2010).
- Since 1907, militarily enforcing sovereign debt became much less common after the Drago Doctrine was adopted by the Hague Conference in 1907.
- The Drago Doctrine states that military force should not be used to enforce sovereign debt payments.
- Until the Foreign Sovereign Immunities Act (1977), de facto legal immunity for sovereigns.

A brief history

- Sovereign borrowing has been around for a long time (individual loans to sovereign rulers).
- But institutions required for a public debt market (well-defined city states and borders, accounting systems, contract laws, taxes, and creditors able to lend enough money) did not exist before 1000 AD.
- Sovereign borrowing by a polity in the form of marketable securities has existed since around 1000-1400 AD (see e.g., Eichengreen et al. 2019).
- First sovereign debt issued by the Roman Catholic Church and Italian city states in the late middle ages.

A brief history

- From 1650, large states began to borrow for non-military spending.
- Large-scale borrowing was common for wars. British public debt-to-GDP was 190 percent in 1822 following the Napoleonic Wars while French public debt-to-GDP peaked at 96 percent in 1896.
- But repayment was also common. France and Britain reduced their debt stocks in the nineteenth century by running large primary balance surpluses.

A brief history

- In the twentieth century, sovereign debt stocks in advanced countries peaked around the two world wars, because of increased public spending and low growth.
- Sovereign debt before the 1930s was used to smooth taxes but not to manage the business cycle.

A brief history

- Before Keynes (1936), prevailing theory that increases in government spending would be offset by higher savings elsewhere. Ricardo (1821) formulated it ("Ricardian equivalence").
- Barro (1974) reintroduced the idea. Contends there is no difference between taxes and sovereign debt, and that as such, government spending financed by debt has no expansionary effect.
- Government might run higher than optimal deficits because of political or institutional factors (Alesina and Tabellini 1990) or to smooth out tax rates (Barro 1979).
- Until Keynes. The Great Depression changed the argument around fiscal policy. Output can be constrained by low demand, so deficit spending has a role in business cycle management.
- Sovereign debt used for more than smoothing out taxes.

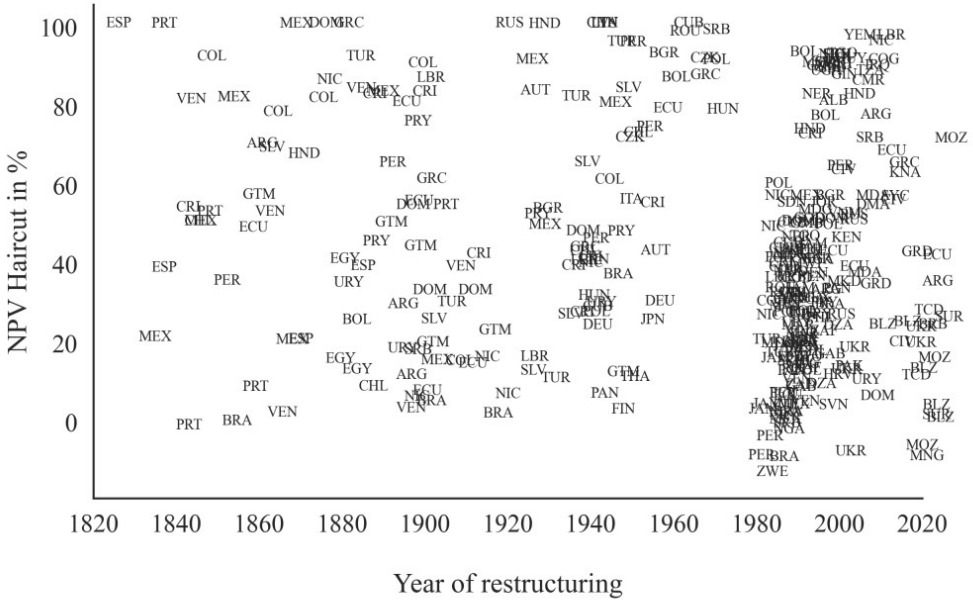
A brief history

- Expansionary fiscal policy can be financed by sovereign debt or money printing. Therefore the twentieth century saw sovereign debt management as an important tool managing the political economy.
- The presence of sovereign debt risk can complicate matters. Increased debt can of course lead to sovereign debt crises (e.g., Bianchi et al. 2019). Especially in emerging markets.
- Countries can lose market access easily. The countercyclicality of government spending is only observed in developed countries, while it is non-cyclical in emerging markets (Uribe and Schmitt-Grohé 2017, p. 9).

A brief history

- Emerging market governments have historically tried to avoid expansionary fiscal policy in a downturn - but austerity can exacerbate output losses.
- High debt levels might make it hard to service debt. It is easier to borrow money if you start out with low debt-to-GDP ratios (Romer and Romer 2019), which is intuitive.
- The risk of facing a credit constraint and sudden stop in credit availability is therefore juxtaposed with the benefits from smoothing macroeconomic costs.

A brief history



Note: Country-Markers represent the time of the 327 individual debt restructurings.

Figure 1: Individual external debt restructuring episodes with private creditors, 1815-2020[2]

[1] Source: von Luckner et al. (2024).

[2] Source: von Luckner et al. (2024).

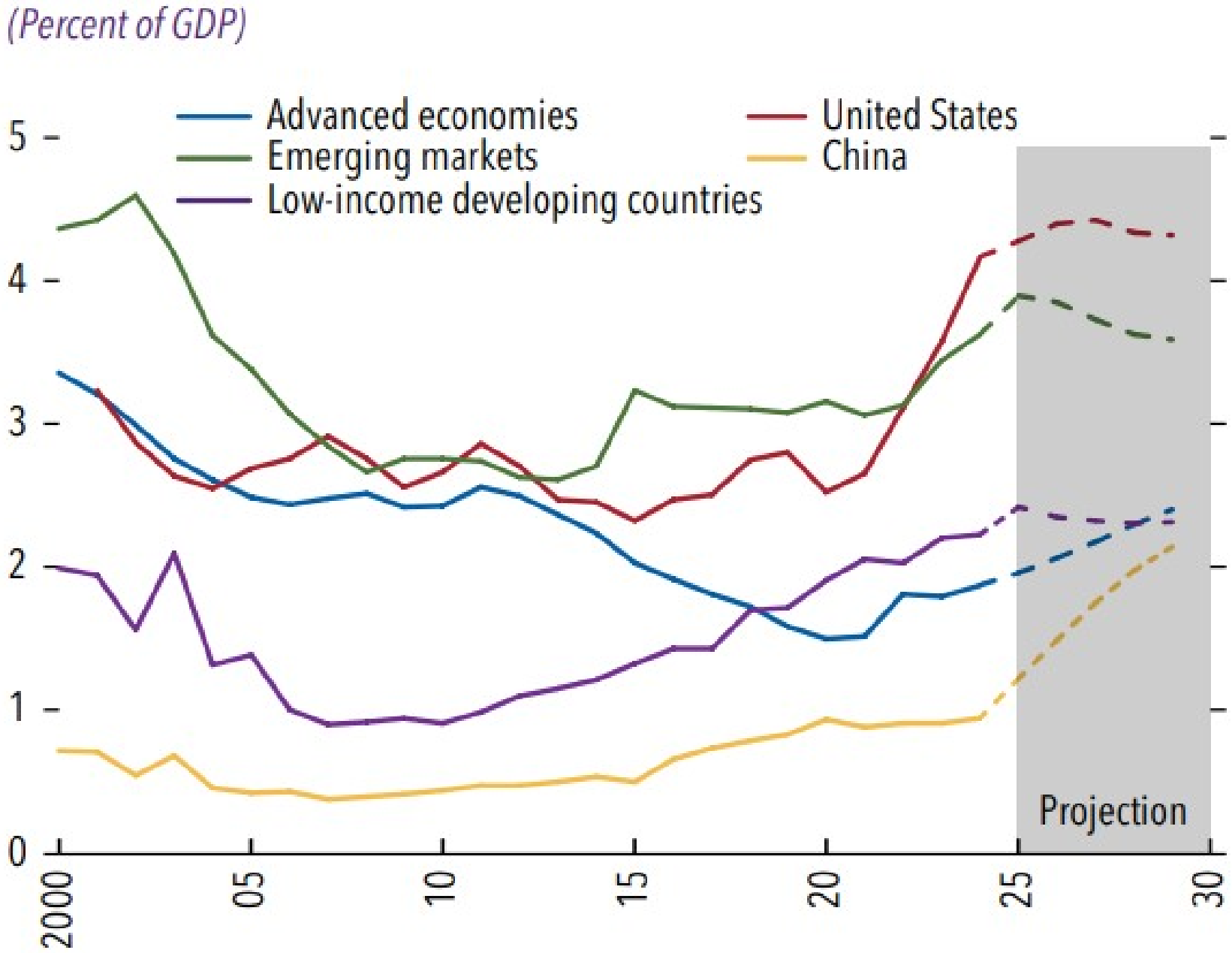
A brief history

- Crises can be insolvency or illiquidity crises, but hard to distinguish.
- Lat-Am in the 1980s. Petrodollars recycled, then sudden stops. Terms of trade problems. Muddled through (Baker Plan), then solved (Brady Plan).
- Asia in the 1990s. High short-term foreign currency debt, then sudden stops. Balance of payments crises (see e.g., Corsetti et al. 1999a, 1999b).
- Other crises: Mexico 1994, Russia 1998, Argentina 2001, Greece/Eurozone 2012. More about default and restructuring in later lectures.

Sovereign debt today

- Today, (almost) no government borrows money with intention to pay it back. That's why nominal debt stocks grow over time.
- Bond markets like bullet loans. There is an implicit assumption that debt will be rolled over in perpetuity.
- Different back in the day. Bank creditor committees in the 1980s assumed repayment.

Sovereign debt today



Sovereign debt today

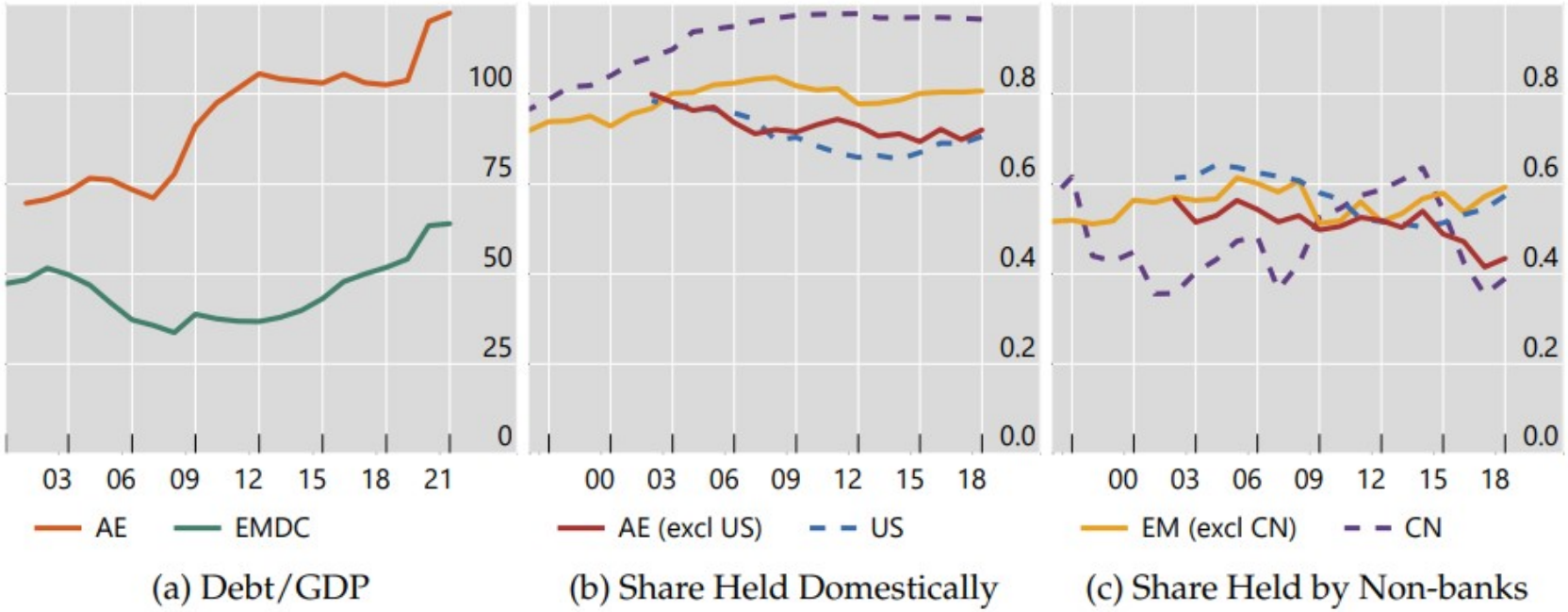


Figure 3: Trends in sovereign debt.[4]

[4] Source: BIS (2023).

Institutional databases

Appendix Table 1. Summary of Sovereign Debt Databases (concluded)

No.	Researchers/ Institution	Name of database	Coverage (years *countries*)	Debt-to-GDP	Debt structure	Crises/ Restruct-urings	Other public finance
Institutional Databases							
19	BIS	Debt Securities	1952-present 157 economies	√	√		√
20	Bank of Canada	Sovereign Default	1960-2017 145 economies			√	√
21	ECB	Debt securities issuance and service by EU government	2016-present 28 EU economies		√		√
22	IDB	Living with Debt	1980-2013 26 LatAm	√	√		
23	IDB	Standardized Public Debt Database	2006-16 26 LatAm	√	√		√
24	IMF	Fiscal Monitor	2010-present 115 economies	√	√		√
25	IMF	Global Debt Database	1950-2017 190 economies	√	√		√
26	IMF	International Financial Statistics	2000-present 194 economies	√	√		√
27	IMF	Public Sector Balance Sheet (PSBS)	2000-present 38 economies	√	√		√
28	IMF	World Economic Outlook (WEO)	1980-2000 199 economies	√	√		
29	OECD	General Government Debt	1995-2017 OECD members	√	√		√
30	World Bank	International Debt Statistics (IDS)	1970-2016 Mostly EMLICs	√	√		√
31	World Bank	Quarterly External Debt Statistics (QEDS)	1998-present 40 EMLICs	√	√		√
32	World Bank	Quaterly Public Sector Debt (QPSD)	1995-present 40 EMLICs	√	√		√

* AEs = Advanced Economies; EMs = Emerging Markets; EMLICs = emerging markets and low-income countries; LatAm = Latin America; EC = European Commission, ECB = European Central Bank, BIS = Bank for International Settlements; IDB = Inter-American Development Bank; IMF = International Monetary Fund.

Figure 4: Databases.[5]

[5] Source: Abbas et al. (2019); the working paper from the IMF also has a researcher database. The paper is 'A Guide to Sovereign Debt Data'.

Institutional databases

Table 2. Public Sector Debt Data in International Databases

: universal coverage : share of countries reporting debt data in total IMF membership / : applies fully / partially

Database	Debtor Country Coverage	Share/Number of Countries Reporting Debt Data (approx.)	Sectoral Coverage			Coverage by Creditor Residency		Composition by Instrument	Composition by Creditor Type
			General Government	Public Sector	Public and Publicly Guaranteed	Domestic Debt	External Debt		
GFS (IMF) 1/		85	●			●	●	◖	●
IFS (IMF)		40	●			●	●	●	
PSBS (IMF) 2/	Mixed	55		●		●	●	●	
GDD (IMF) 2/		90		●		●	●		
Sovereign Debt Database (IMF) 3/		115	●			●	●		●
QPSD (WB-IMF)		100		●		●	●	●	
IDS (WB)	Low- and middle-income	123			●		●		● 4/
QEDS (WB-IMF)		125			●		●	●	●
JEDH (BIS-IMF-OECD-WB)		125			●		●	●	●
CPIS (IMF)		85	●				●	◖	●
CDIS (IMF)		110	●				●	◖	
MFS-SRFs (IMF)		65	●	●		●		●	●
LBS (BIS) 5/		44		●			●	◖	◖
CRS (OECD) 6/	ODA-eligible (141)	31		●			●	◖	◖

Figure 5: Databases.[6]

[6] Source: IMF (2023), 'Making public debt public - ongoing initiatives and reform options - background paper'.

Questions and (maybe) some answers